User CMA Smart & Secure : Applied Data Analytics Training Center.
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The Gold Standard: RFM Analysis (Segmentation, Descriptive Analytics)

What is RFM Analysis?

RFM Analysis is a customer segmentation technique based on purchasing behavior using three factors:

- **R — Recency:** How recently a customer purchased (Engagement)
- **F — Frequency:** How often they purchase (Loyalty)
- **M — Monetary:** How much money they spend (Value)

Why Should You Use RFM Analysis?

- Identify high-value customers
- Detect loyal vs inactive customers
- Improve marketing targeting
- Increase customer retention
- Support data-driven business decisions

How to Use RFM Analysis — Step-by-Step

1 Define Business Objective

Examples: Improve customer retention, Target high-value segments, Reduce churn.

2 Prepare Data

Required fields (at least):

- Customer ID
- Transaction Date
- Invoice / Order ID
- Transaction Amount

3 Calculate RFM Metrics

Recency: Days since last purchase (Recency = Analysis Date – Last Purchase Date)
Frequency: Number of transactions count
Monetary: Total or average spending

4 Score Customers

Common approach: Rank into 1–5 score groups (quintiles)
Simple approach (User CMA recommended approach): Rank into High-Low groups

5 Create Customer Segments

Common approach: Combining R(1-5), F(1-5), M(1-5) (125 segments need to handle) (depend on business capacity and actionability)

Simple approach (User CMA): Combining R(H-L), F(H-L), M (H-L) (Only 8 segments need to handle) >>>

6 Interpret & Take Action

See table >>>